# MTAR Technologies Ltd

Concall Tracker, Q1 2027 update | Report date: 6 Nov 2026 | Screener ticker: MTARTECH | Builds on the Q4-2026 report

MTAR is a Hyderabad precision-engineering company. Think of it as a high-end workshop for metal parts that very few firms can make: "hot boxes" that sit inside Bloom Energy's fuel-cell power units in the US, parts for India's nuclear reactors, rocket-engine parts for ISRO, and aerospace and defence assemblies. Customers pay a premium because qualifying a new supplier for these parts takes years.

## 1. Snapshot

| Measure | Value | Plain-English read |
|---|---|---|
| Market value | ₹16,755 cr | What the whole company is worth on the stock market today. Lower than in July, as the share price has cooled off from its high. |
| Share price (52-week range) | ₹5,448 (₹2,217 to ₹8,715) | A very wide swing. The market keeps changing its mind about how fast this story plays out. |
| Price-to-earnings (P/E) | ~87 | Buyers pay about ₹87 for each ₹1 of yearly profit. Still expensive, but far less than the ~220 of three months ago, because profit has jumped. |
| Q1 FY27 revenue (Apr-Jun 2026) | ₹361 cr | Sales for the quarter, a record and more than double the ₹157 cr of a year ago. |
| Q1 FY27 operating margin | 23.6% | Out of every ₹100 of sales, about ₹24 is left as operating profit (before interest, tax, depreciation). Up from about 18% a year ago and right on the 24% target. |
| Q1 FY27 net profit | ₹50 cr | Profit after all costs and tax, almost five times last year's ₹11 cr for the same quarter. |
| Debt | ₹424 cr gross, ~₹20-30 cr net | Borrowings look large, but the company holds about ₹379 cr of cash and investments, so true net debt is tiny. |
| Promoter holding | 29.4% (Jun 2026) | The founders' share keeps slipping (it was 37% in early 2024). Not alarming on its own, but worth watching. |

All rupee figures in crore (1 crore = 10 million). Quarterly numbers are consolidated, from the call and Screener.

## 2. Concall coverage

| Quarter | Call date | Transcript read? |
|---|---|---|
| Q1 FY24 to Q3 FY26 (11 calls) | Aug 2023 to Jan 2026 | Carried forward from the Q4-2026 report |
| Q4 FY26 (prior boundary) | 13 May 2026 | Read in the Q4-2026 report |
| **Q1 FY27 ★** | **30 Jul 2026** | **Newly deep-read in full** |

Only the Q1 FY27 call was read in full this time. The three-year backstory comes from the prior report, so this update still spans 13 quarterly calls from Aug 2023 to Jul 2026.

## ★ Latest concall highlights - Q1 FY27 (call held 30 Jul 2026)

- **Best quarter ever.** Revenue ₹361 cr, up 130% on last year. Operating profit ₹85 cr at a 23.6% margin, profit after tax ₹50 cr. Plain read: the jump promised in May showed up in the very first quarter.
- **Order book blew past the full-year target in one quarter.** Orders on hand hit ₹5,143 cr at end-June, already above the ₹5,000 cr they had targeted for March 2027. A further ~₹800 cr of net new orders came in on the day of the call. Plain read: work is lined up well beyond this year.
- **Guidance held, with a hint of more.** The FY27 target of about 80% revenue growth at a 24% margin (give or take one point) was repeated, and the MD said they are "pretty confident to do better". He asked analysts to wait for the next call before any formal raise.
- **Cash tied up in the business collapsed.** Working-capital days (how long cash sits in stock and unpaid bills) fell to 59 from 172 for FY26, after better payment terms from customers. Year-end target cut to about 100 days, from 150-175. Cash from operations was ₹248 cr in the quarter.
- **Big capacity build is on schedule.** Fuel-cell Phase 1 is done, Phase 2 comes online Sep-Oct 2026 and a "multifold" Phase 3 is due by March 2027. Capex of about ₹500 cr over FY27-28, funded by internal cash plus debt.

## Business mix & capacity

**Domestic vs export:** exports were more than 70% of revenue in FY26 (mostly the US). The new data-centre work is all export too. Plain read: MTAR is mostly a dollar earner and heavily tied to one US customer.

**Capacity utilisation:** no fresh percentage on this call, but the fuel-cell lines were full at the last call and management says demand is ahead of what they can build. Phase 2 (Oct 2026) and Phase 3 (Mar 2027) are the answer. Plain read: growth this year depends on getting new lines running on time.

## ★ Since our last report

Builds on the Q4-2026 report (boundary call 13 May 2026). Prior verdicts: **trigger YES**, **consistency MAYBE**.

| Prior read | What we said then | What the new call shows | Movement |
|---|---|---|---|
| Earning trigger | Bloom fuel-cell boom plus nuclear and aerospace, finally showing in numbers | Record quarter, revenue more than doubled, order book above the year-end target | Confirmed |
| Consistency | Two years of missed guidance; FY26 the first year delivered | Q1 on track with the 80% plan; WC and order-book promises beaten, not just met | Improving |
| FY27 guidance (80% growth, 24% margin) | Very bold against a spotty record | Q1 grew 130% at 23.6% margin; guidance repeated | On-track |
| ₹5,000 cr order book by Mar 2027 | Target | ₹5,143 cr by June already | Confirmed |
| Working capital near 200 days | Promised for years, finally 172 in Q4 FY26 | 59 days; target now ~100 for the year | Improving |
| Nuclear (Kaiga 5 & 6) execution | Order landed, execution just starting | Still not showing in revenue; MD says it starts in H2 FY27 | Slipping a little |
| New data-centre customer | First-article stage | Still first articles; first real order (₹45 cr) due by Feb-Mar 2027 | On-track |

**Verdict change this quarter:** trigger stays YES (unchanged, now better evidenced). Consistency stays MAYBE (unchanged), but it's moving the right way. One quarter of delivery doesn't wipe out FY24-FY25, and the nuclear revenue keeps getting pushed to "the second half".

## ★ 3. Earning-trigger thesis

The engine is still Bloom Energy's fuel-cell demand, which is riding the US rush to power AI data centres. MTAR is the majority supplier of Bloom's hot boxes and is building capacity several times over. On top of that sit three newer legs: a nuclear order book of about ₹684 cr (heading to ~₹815 cr) that starts billing from late FY27, an aerospace and defence business expected to double this year, and a "products" division (ball screws and other assemblies) that suddenly hit about ₹100 cr in the quarter. Management now talks about products crossing ₹1,000 cr and aerospace reaching ₹600-700 cr within three to four years. The trigger is live and visible in the numbers.

| Trigger | What management said | Evidence so far | Time horizon | Strength | Change since last report |
|---|---|---|---|---|---|
| Bloom fuel-cell hot boxes (AI data centres) | Record order inflow; Phase 3 "multifold" expansion by Mar 2027 | Record quarter; big new orders for FY28 delivery; customer raised its own guidance | Now to 3-5 yrs | Strong. Demand is real and contracted | ↑ improving. Orders now stretch into FY28 |
| Civil nuclear (Kaiga 5 & 6, refurbishments, 4 new Mahi Banswara reactors) | Execution starts H2 FY27; 60-70% share of these reactor orders | ~₹684 cr book; ~₹130 cr more expected this quarter; little revenue yet | H2 FY27 to FY30 | Strong on orders, unproven on billing | unchanged. Execution still to begin |
| Aerospace & defence | Revenue to double in FY27; Tejas actuator work ~₹140-150 cr | First articles turning into volume orders at 10-15x size | FY27 to FY30 | Moderate, rising | ↑ improving |
| Products division | Growth to continue; H2 stronger than H1 | ~₹100 cr in Q1 alone, a sharp jump | FY27+ | Moderate. One quarter so far | ↑ new leg |
| Data-centre infrastructure (2nd global customer) | ₹45 cr first order by Mar 2027; customer needs up to 8 such sets a year | First articles only; dedicated plant being set up | FY28+ | Unproven | unchanged |

## 4. Management consistency scorecard

| Period | What was promised | What actually happened | Verdict |
|---|---|---|---|
| FY24 (set Aug 2023) | ₹830-860 cr revenue, ~28% margin | ₹581 cr, ~18% margin; cut twice as Bloom deferred orders | Missed |
| FY25 (set May 2024) | ₹900 cr, later cut to ₹725-750 cr | ₹676 cr, below even the cut number | Missed |
| FY26 (set May 2025) | 25% growth, later 30-35% | ₹876 cr (~30%), profit up 76% | Delivered |
| Working capital (promised ~200 days since 2023) | ~200 days, later 150-175 | 172 in Q4 FY26, 59 in Q1 FY27 | Delivered (late) |
| Fluence battery-storage deal (2023-24) | 1,000-unit order "closing this quarter" | Never came; customer dropped | Dropped |
| Order book ₹5,000 cr by Mar 2027 (set May 2026) | ₹5,000 cr | ₹5,143 cr by Jun 2026 | Delivered (early) |
| FY27: ~80% growth, 24% margin (set May 2026) | ~₹1,600 cr revenue | Q1: +130%, 23.6% margin | Too-early, on track |
| Nuclear revenue ramp | Repeated since FY24 calls | Orders in hand; billing pushed to H2 FY27 | Partly |

**Narrative drift:** the story hasn't wandered in three years. Bloom, nuclear, aerospace, fix working capital. What changed was delivery, and since FY26 it's been on time or early. The tone has gone from defensive to openly bullish: the MD called worries about US data-centre slowdowns "unwanted noise" and won't share Phase 3 capacity numbers, citing an NDA (a confidentiality deal) with the customer. That confidence is backed by orders right now. The risk is the same as before: so much rides on one US customer that any pause at Bloom hits MTAR hard, and the record in FY24-FY25 shows how quickly guidance can unwind when that happens.

## 5. Bottom line - two verdicts

### Durable earning trigger? → YES

vs last quarter: unchanged

Nothing moved this down, and a lot moved it up. Revenue more than doubled in Q1, the order book passed the full-year target three quarters early, and fresh orders now run into FY28. Nuclear, aerospace and the new products division give it more than one leg, even if nuclear hasn't started billing yet. The main catch is still dependence on Bloom and on getting Phase 2 and Phase 3 built on time. This is a clear Yes.

### Management consistent? → MAYBE

vs last quarter: unchanged (improving)

This quarter helped. Q1 landed right on the bold FY27 plan, the order-book target was beaten early, and the working-capital promise that slipped for years was finally smashed. But it's one more good quarter after two bad years, the nuclear ramp has been "next half" for a while, and the founders' stake keeps drifting down. Two or three more quarters like this and it becomes a Yes.

Sources: MTAR Technologies Q1 FY27 earnings-call transcript (30 Jul 2026) read in full; earlier 12 calls (Aug 2023 to May 2026) carried forward from the Q4-2026 Concall Tracker report; Screener.in financials and shareholding. This is not investment advice. Do your own due diligence.